Business Management HL · Set A · Paper 3

Worked mark scheme · 75 minutes · 25 marks

Award equivalent valid methods and conclusions. Apply the indicated mark allocation to each part. Credit consistent follow-through where the subsequent reasoning remains valid.

ThreadWorks · Social enterprise [25]

(a) **[2]**

Using one motivation theory, describe one human need that ThreadWorks helps its trainees meet.

1 mark · Identify a relevant need within a named theory, for example esteem in Maslow's hierarchy.

1 mark · Explain how trusted sign-off responsibility can build confidence and recognition. Accept a relevant, applied alternative.

(b) **[6]**

Explain two challenges facing ThreadWorks as it seeks to remain financially and socially sustainable.

1 mark · Identify the unrestricted-cash challenge.

1 mark · At CU 4,000 per month the CU 16,000 buffer above the floor lasts only four months.

1 mark · The restricted grant covers extra activity and cannot repair the operating deficit.

1 mark · Identify the capacity or social-mission challenge.

1 mark · The hotel forecast cuts hours by 600 or requires better supervision and on-time performance.

1 mark · The pilot achieved 92% against a 96% requirement, exposing trainees and cash to pressure.

Award each separate challenge up to three marks.

(c) **[17]**

Using all the resources and your knowledge of business management, recommend a plan of action for the next two years that protects both ThreadWorks' finances and its social purpose.

4 marks · Resource use (0–4). At 1 mention evidence, at 2 use some evidence, at 3 connect most resources to actions, at 4 integrate all four accurately. Example: connect the charter hours, unrestricted cash floor, two offers and pilot reliability to explicit decisions.

4 marks · Tools and theory (0–4). Progress from naming a tool (1), through a partial application (2), to a sound application (3) and effective decision-making use (4). A cash forecast shows that paying 22,000 immediately leaves 6,000 before month-one operations. The grant cannot close that gap. From month 3, the original hotel forecast implies a monthly surplus of 3,000 before penalties.

6 marks · Evaluation (0–6). Award 1–2 for a mostly asserted choice, 3–4 for weighing credible benefits and costs, and 5–6 for a sustained judgement addressing feasibility, stakeholder trade-offs and uncertainty. A phased contract could protect the trainee-hours floor while maintaining income, but lower pilot volumes change the cash forecast. Require written revised terms and forecast the downside. If the hotel refuses, seek unrestricted bridge funding or renegotiate supplier terms before committing, while retaining the social programme.

3 marks · Sequence and action (0–3). Award 1 for isolated actions, 2 for a workable sequence and 3 for linked milestones and contingencies. In the first month negotiate deposits or staged payments and secure unrestricted cash above 12,000. Run a supervised quality trial and review on-time delivery and paid hours monthly. Scale after delivery reaches 96% and funding is secured. In year two diversify hotel customers and replace expiring grant support. Accept different evidence-based plans.

End of mark scheme · 25 marks